

3-way matching policy

Accounts Payable control · applies to all PO-backed purchases · effective 2026-01-01 · owner: Procurement & AP

1. Purpose & scope

Every supplier invoice raised against a purchase order (PO) must be reconciled against the PO and the goods receipt note (GRN) before it is approved for payment. The three documents must agree on supplier, PO reference, items, quantities and prices, within the tolerances below. This control prevents overpayment, duplicate payment, and payment for goods not received.

2. Required documents

- **Purchase order (PO)** — the authorised commitment: items, ordered quantity, agreed unit price.
- **Goods receipt note (GRN)** — proof of delivery: items and quantity actually received and inspected.
- **Supplier invoice** — the payment request: items, billed quantity, billed unit price, totals.

If any of the three is missing, the result is **HOLD** — do not approve until the missing document is supplied.

3. Matching keys

1. **Header link:** invoice and GRN must both reference the same **PO number** ; supplier name must match the PO supplier.
2. **Line link:** match lines by **SKU / item code** (fall back to description if code absent).
3. Every invoiced line must exist on the PO and have a corresponding receipt.

4. Tolerances

Check	Rule	Tolerance	If outside
Unit price	invoice unit price vs PO unit price	± 2% or \$0.05, whichever is greater	PRICE EXCEPTION
Quantity	invoice billed qty must not exceed GRN received qty	0 — no over-billing of unreceived goods	QTY EXCEPTION
Line amount	qty × unit price recompute	± \$1.00 rounding	AMOUNT EXCEPTION
Item	invoiced item exists on PO	exact code match	UNMATCHED ITEM
Document set	PO + GRN + invoice all present	all three required	HOLD

5. Decision & routing

Outcome	Meaning	Action
MATCHED	all checks pass within tolerance	Approve for payment; release to AP.
EXCEPTION	one or more checks fail	Block payment of the affected amount; route to buyer with the specific reason and the figures compared.
HOLD	a required document is missing	Park the invoice; request the missing GRN/PO; re-run when received.

For a short receipt (received < billed), the payable amount is **received qty × PO unit price** ; the remainder is held until a further receipt arrives.

6. Required output (per invoice)

Return a structured verdict: overall outcome, and per line — PO qty/price, received qty, billed qty/price, each check pass/fail, the variance, the approved-to-pay amount, and a one-line reason for any exception.